Addendum to Disclosure File shared

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IND AS 1 : PRESENTATION OF FINANCIAL STATEMENTS

1.8.6.3 Sources of estimation uncertainty

An entity must disclose, in the notes, information about the assumptions made concerning the future, and other important sources of estimation uncertainty at the end of the reporting period, that have a significant risk of resulting in a material adjustment to the carrying amounts of assets and liabilities within the next financial year. Disclosures about nature of such assets and their carrying amount as at the end of the reporting period should also be made.

1.8.6.6 Other disclosures (Pg. No. 3.57 to 3.58)

An entity must disclose the amount of dividends proposed or declared before the financial statements were approved for issue but not recognised as a distribution to owners during the period, and the related amount per share and the amount of any cumulative preference dividends not recognised.
Ind AS 1 requires certain other disclosures, if not disclosed elsewhere in information published with the financial statements:

a) the domicile and legal form of the entity, its country of incorporation and the address of its registered office (or principal place of business, if different from the registered office);

b) a description of the nature of the entity's operations and its principal activities;

c) the name of the parent and the ultimate parent of the group; and

d) if it is a limited life entity, information regarding the length of its life.

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Ind AS 8 : ACCOUNTING POLICIES, CHANGES IN ACCOUNTING ESTIMATES AND ERRORS

1.2 OBJECTIVE

1.2.2 To prescribe the accounting treatment and disclosure of changes in accounting policies (Pg. No. 4.4)

At certain times, there is a need to make the changes in the policies in the light of changing circumstances of business, changing nature of business, new guidelines issued by regulatory authorities, enforcement of new laws etc. In such cases, an entity needs guidance as to whether the changes need to be affected retrospectively or only prospectively and how to present and disclose the effect of the same in the financial statements. Ind AS 8 provides guidance to the entity in such areas

1.2.3 To prescribe the accounting treatment and disclosure of changes in accounting estimates (Pg. No. 4.4)

In business, there are many things which are uncertain. For example, how many trade receivables will turn bad? What will be the estimated life of property, plant and equipment? What will be the value of investments? Will the net realisable value of closing inventory be more or less than the actual realised value less actual costs of completion and actual costs necessary to make the sale? And so on. In such cases, the entity will have to make few assumptions and make an estimate. Ind AS 1 allows an entity to do the estimation. Ind AS 8 takes it further and deals with how to incorporate the changes in the accounting estimates already made in the past. Is it possible to change such estimates with changing circumstances and available new information? If yes, how would the entity incorporate the effect of the changes? Such questions are addressed in Ind AS 8.

1.2.4 To prescribe the accounting treatment and disclosure of corrections of errors (Pg. No. 4.4)

It is said that 'to err is human'. Making mistakes is an integral part of life and the possibility of having some errors in the financial statements already published cannot be ruled out. In such cases, the question arises as to how to rectify the errors and provide the true and fair position to the stakeholders of financial statements. Should the entity rectify the error by way of retrospective restatement or should it rectify the same in the current reporting period? Such questions are addressed in Ind AS 8.

1.5 ACCOUNTING POLICIES

1.5.6 Disclosure regarding the changes in accounting policies (Pg. No. 4.25 to 4.27)

- When initial application of an Ind AS has an effect on the current period or any prior period, would have such an effect except that it is impracticable to determine the amount of the adjustment, or might have an effect on future periods, an entity shall disclose:

  (a) the title of the Ind AS;

  (b) when applicable, that the change in accounting policy is made in accordance with its transitional provisions;

  (c) the nature of the change in accounting policy;

(d) when applicable, a description of the transitional provisions;

(e) when applicable, the transitional provisions that might have an effect on future periods;

(f) for the current period and each prior period presented, to the extent practicable, the amount of the adjustment:

(i) for each financial statement line item affected; and

(ii) if Ind AS 33, 'Earnings per Share', applies to the entity, for basic and diluted earnings per share;

(g) the amount of the adjustment relating to periods before those presented, to the extent practicable; and

(h) if retrospective application required by paragraph 19(a) or (b) of Ind AS 8 is impracticable for a particular prior period, or for periods before those presented, the circumstances that led to the existence of that condition and a description of how and from when the change in accounting policy has been applied.

- When a voluntary change in accounting policy has an effect on the current period or any prior period, would have an effect on that period except that it is impracticable to determine the amount of the adjustment, or might have an effect on future periods, an entity shall disclose:

(a) the nature of the change in accounting policy;

(b) the reasons why applying the new accounting policy provides reliable and more relevant information;

(c) for the current period and each prior period presented, to the extent practicable, the amount of the adjustment:

(i) for each financial statement line item affected; and

(ii) if Ind AS 33 applies to the entity, for basic and diluted earnings per share;

(d) the amount of the adjustment relating to periods before those presented, to the extent practicable; and

(e) if retrospective application is impracticable for a particular prior period, or for periods before those presented, the circumstances that led to the existence of that condition and a description of how and from when the change in accounting policy has been applied.

Note:

- Financial statements of subsequent periods need not repeat these disclosures.
- These disclosures will form part of Notes to Accounts.

- When an entity has not applied a new Ind AS that has been issued but is not yet effective, the entity shall disclose:

(a) this fact; and

(b) known or reasonably estimable information relevant to assessing the possible impact that application of the

new Ind AS will have on the entity's financial statements in the period of initial application.

- In complying with the above requirement, an entity considers disclosing:

(a) the title of the new Ind AS;

(b) the nature of the impending change or changes in accounting policy;

(c) the date by which application of the Ind AS is required;

(d) the date as at which it plans to apply the Ind AS initially;

(e) either:

(i) a discussion of the impact that initial application of the Ind AS is expected to have on the entity's financial statements; or

(ii) if that impact is not known or reasonably estimable, a statement to that effect.

1.6 CHANGE IN ACCOUNTING ESTIMATES

1.6.5 Disclosure of changes in estimates (Pg. No. 4.32)

- An entity shall disclose the nature and amount of a change in an accounting estimate that has an effect in the current period or is expected to have an effect in future periods, except for the disclosure of the effect on future periods when it is impracticable to estimate that effect.
- If the amount of the effect in future periods is not disclosed because estimating it is impracticable, an entity shall disclose that fact.

Thus, to summarise the above-mentioned provisions, the entity should disclose:

(a) Effect of change in estimate on the current period

(b) If applicable and practicable, effect of change in estimate on the future periods

(c) If applicable but impracticable, the fact that it is impracticable to estimate the effect on future periods.

1.8 DISCLOSURE OF PRIOR PERIOD ERRORS (Pg. No. 4.39 to 4.40)

An entity shall disclose the following:

(a) the nature of the prior period error;

(b) for each prior period presented, to the extent practicable, the amount of the correction:

(i) for each financial statement line item affected; and

(ii) if Ind AS 33 applies to the entity, for basic and diluted earnings per share;

(c) the amount of the correction at the beginning of the earliest prior period presented; and

(d) if retrospective restatement is impracticable for a particular prior period, the circumstances that led to the existence of that condition and a description of how and from when the error has been corrected.

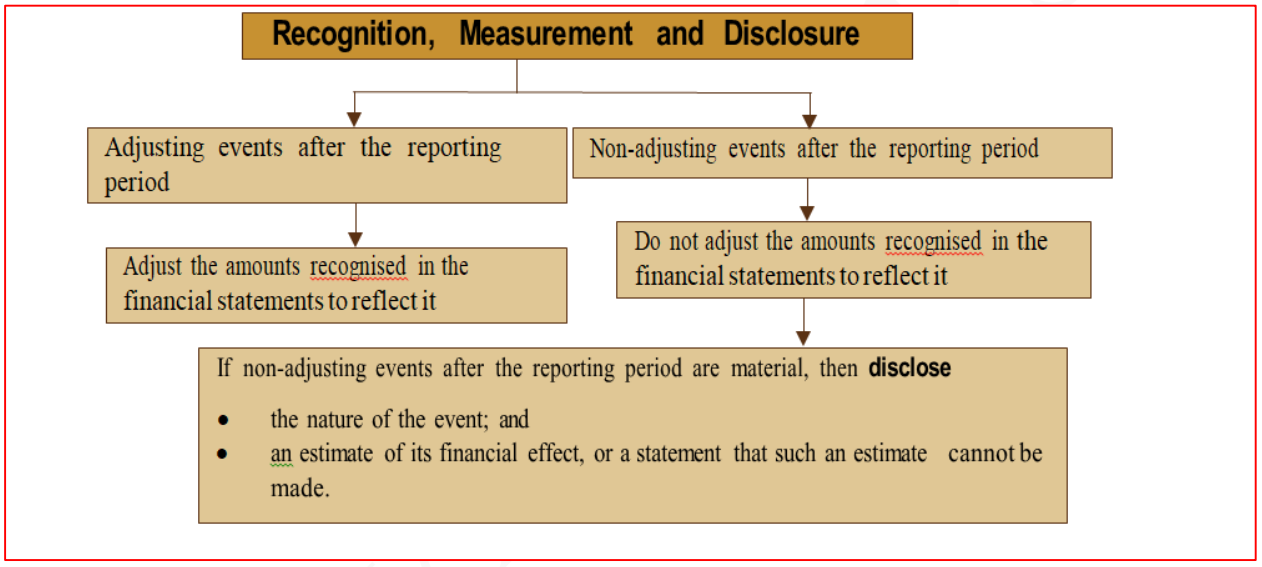
Financial statements of subsequent periods need not repeat these disclosures.

Ind AS 10 : EVENTS AFTER THE REPORTING PERIOD

2.7 ACCOUNTING TREATMENT AND DISCLOSURE OF NON-ADJUSTING EVENTS AFTER THE REPORTING PERIOD (Pg. No. 4.64)

An entity shall not adjust the amounts recognised in its financial statements to reflect non-adjusting events after the reporting period.

An example of a non-adjusting event after the reporting period is a decline in fair value of investments between the end of the reporting period and the date when the financial statements are approved for issue. The decline in fair value does not normally relate to the condition of the investments at the end of the reporting period but reflects circumstances that have arisen subsequently. Therefore, an entity does not adjust the amounts recognised in its financial statements for the investments. Similarly, the entity does not update the amounts disclosed for the investments as at the end of the reporting period, although it may need to give additional disclosure as required under paragraph 21 of Ind AS 10.



2.10 DISCLOSURE REQUIRED UNDER IND AS 10 (Pg. No. 4.70 to 4.72)

2.10.1 Date of approval for issue

- An entity shall disclose the date when the financial statements were approved for issue and who gave that approval. If the entity's owners or others have the power to amend the financial statements after issue, the entity shall disclose that fact.
- It is important for users to know when the financial statements were approved for issue, because the financial statements do not reflect events after this date.

Ind AS 10, underlines the importance of date of approval, by requiring a separate disclosure of the date of approval of financial statements. Note that this date is important because it gives a clear idea to the stakeholders about the

Examples of non-adjusting events after the reporting period generally resulting in disclosure:

(a) a major business combination after the reporting period (Ind AS 103, *Business Combinations*, requires specific disclosures in such cases) or disposing of a major subsidiary;
(b) announcing a plan to discontinue an operation;

(c) major purchases of assets, classification of assets as held for sale in accordance with Ind AS 105, *Non-current Assets Held for Sale and Discontinued Operations*, other disposals of assets, or expropriation of major assets by government;

(d) the destruction of a major production plant by a fire after the reporting period;

(e) announcing, or commencing the implementation of, a major restructuring (see Ind AS 37);

(f) major ordinary share transactions and potential ordinary share transactions after the reporting period (Ind AS 33, Earnings per Share, requires an entity to disclose a description of such transactions, other than when such transactions involve capitalisation or bonus issues, share splits or reverse share splits all of which are required to be adjusted under Ind AS 33);

(g) abnormally large changes after the reporting period in asset prices or foreign exchange rates;

(h) changes in tax rates or tax laws enacted or announced after the reporting period that have a significant effect on current and deferred tax assets and liabilities (see Ind AS 12, Income Taxes);

(i) entering into significant commitments or contingent liabilities, for example, by issuing significant guarantees; and

(j) commencing major litigation arising solely out of events that occurred after the reporting period.

2.11 DISTRIBUTION OF NON-CASH ASSETS TO OWNERS

2.11.4 Accounting Principles enunciated by Appendix A to Ind AS 10

2.11.4.3 Presentation and disclosures (Pg. No. 4.76)

An entity shall present the difference between carrying amount of the assets distributed and the carrying amount of the dividend payable at the time of settlement of the dividend payable as a separate line item in profit or loss.

An entity shall disclose the following information, if applicable:

a) the carrying amount of the dividend payable at the beginning and end of the period; and

b) the increase or decrease in the carrying amount recognised in the period as result of a change in the fair value of the assets to be distributed.

If after the end of a reporting period but before the financial statements are approved for issue, an entity declares a dividend to distribute a non-cash asset, it shall disclose:

a) the nature of the asset to be distributed;

b) the carrying amount of the asset to be distributed as of the end of the reporting period; and

c) the fair value of the asset to be distributed as of the end of the reporting period, if it is different from its carrying amount, and the information about the method(s)used to measure that fair value required to be disclosed by Ind AS 113, Fair Value Measurement.

Ind AS 19 : EMPLOYEE BENEFITS

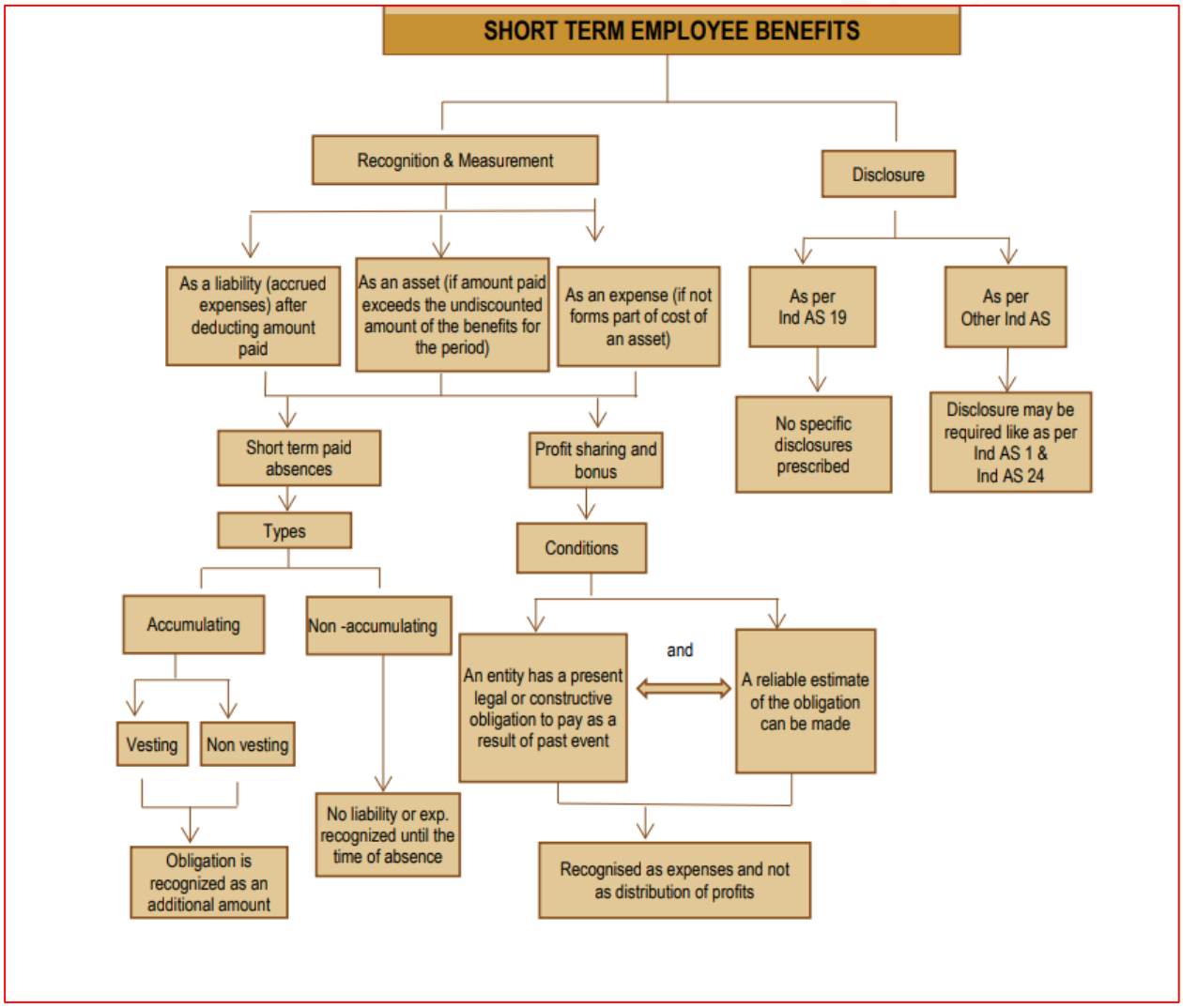
1.5 SHORT-TERM EMPLOYEE BENEFITS

1.5.4 Disclosure (Pg. No. 6.24)

- This Standard does not require specific disclosures about short-term employee benefits.
- However, other Ind AS may require disclosures.

Examples:

- Ind AS 24 requires disclosures about employee benefits for key management personnel.
- Ind AS 1, Presentation of Financial Statements, requires disclosure of employee benefits expense.



1.7 ACCOUNTING FOR DEFINED CONTRIBUTION PLANS

1.7.2 Disclosure (Pg. No. 6.34)

- An entity shall disclose the amount recognised as an expense for defined contribution plans.
- An entity shall disclose information about contributions to defined contribution plans for key management personnel where required as per Ind AS 24

- Where required by Ind AS 37 Provisions, Contingent liabilities and Contingent Assets, an entity discloses information about contingent liabilities arising from post-employment benefit obligations.

1.14 OTHER LONG-TERM EMPLOYEE BENEFITS

1.14.2 Disclosure (Pg. No. 6.74)

Though this Standard does not require specific disclosures about other long-term employee benefits, other Standards may require disclosures.

For example:

a) Where the expense resulting from such benefits is material and so would require disclosure in accordance with Ind AS 1.

b) When required by Ind AS 24, an entity discloses information about other long-term employee benefits for key management personnel.

1.15 TERMINATION BENEFITS

1.15.3 Disclosure (Pg. No. 6.77)

This Standard does not require specific disclosures about termination benefits, other Ind AS may require disclosures.

For example:

a) where required by Ind AS 24 an entity discloses information about termination benefits for key management personnel.

b) Ind AS 1 requires disclosure of employee benefits expense.

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Ind AS 20 : ACCOUNTING FOR GOVERNMENT GRANTS AND DISCLOSURE OF GOVERNMENT ASSISTANCE

2.6 PRESENTATION OF GRANTS RELATED TO ASSETS

2.6.2 Disclosure in the statement of cash flow (Pg. No. 10.45)

The purchase of assets and the receipt of related grants can cause major movements in the cash flow of an entity. For this reason and in order to show the gross investment in assets, such movements are disclosed as separate items in the statement of cash flows. This presentation is done irrespective of the fact that the grant is deducted or not from the related asset, for the purpose of presentation in the balance sheet.

2.9 DISCLOSURE (Pg. No. 10.49 to 10.50)

The following should be disclosed:

(a) the accounting policy adopted for government grants;

(b) the methods of presentation adopted for government grants in the financial statements;

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Ind AS 34 : INTERIM FINANCIAL REPORTING

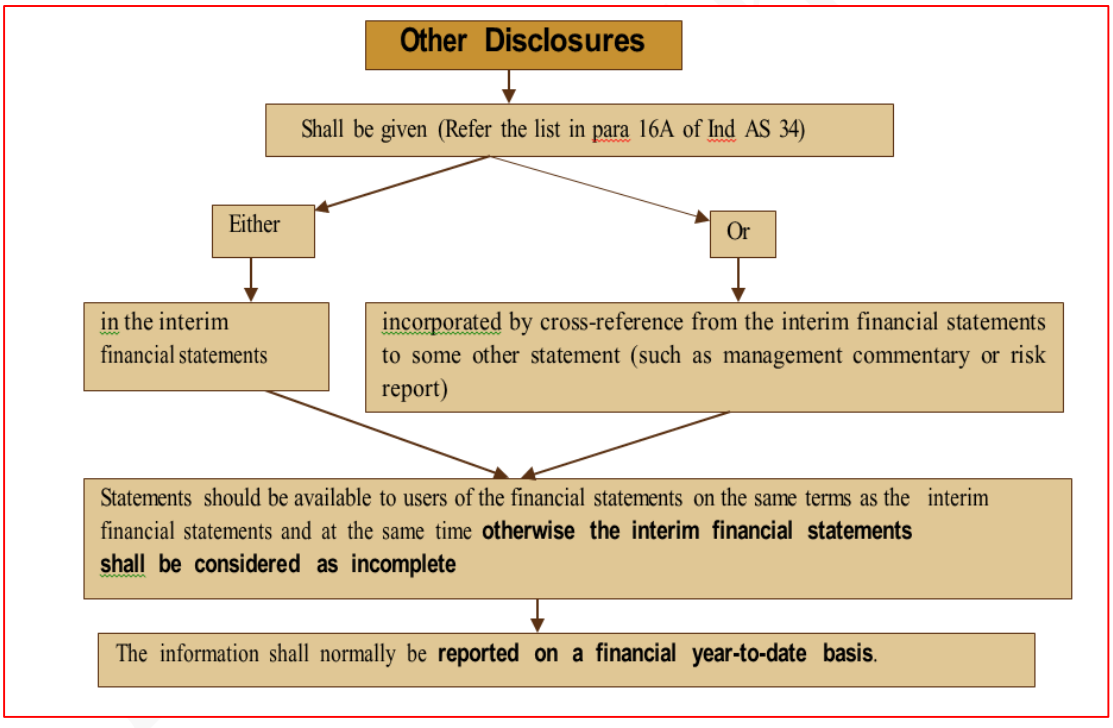
2.5 CONTENTS OF AN INTERIM FINANCIAL REPORT

2.5.3 Other disclosure (Pg. No. 3.78 to 3.79)

The information shall normally be reported on a financial year-to-date basis. In addition to disclosing significant events and transactions, an entity shall include the following information, in the notes to its interim financial statements. The following disclosures shall be given either in the interim financial statements or incorporated by cross-reference from the interim financial statements to some other statement (such as management commentary or risk report) that is available to users of the financial statements on the same terms as the interim financial statements and at the same time. If users of the financial statements do not have access to the information incorporated by cross-reference on the same terms and at the same time the interim financial report is incomplete.

a)	a statement that the same accounting policies and methods of computation are followed in the interim financial statements. If those recently used policies or methods have been changed, a description of the nature and effect of the change should also be given.
b)	explanatory comments about the seasonality or cyclicality of interim operations.
c)	the nature and amount of items affecting assets, liabilities, equity, net income or cash flows that are unusual because of their nature, size or incidence.
d)	the nature and amount of changes in estimates of amounts reported in prior interim periods of the current financial year or changes in estimates of amounts reported in prior financial years.
e)	issues, repurchases and repayments of debt and equity securities.
f)	dividends paid (aggregate or per share) separately for ordinary shares and other shares.
g)	the following segment information (disclosure of segment information is required in an entity's interim financial report only if Ind AS 108, *Operating Segments*, requires that entity to disclose segment information in its annual financial statements): i. revenues from external customers, if included in the measure of segment profit or loss reviewed by the chief operating decision maker or otherwise regularly provided to the chief operating decision maker. ii. inter segment revenues, if included in the measure of segment profit or loss reviewed by the chief operating decision maker or otherwise regularly provided to the chief operating decision maker. iii. a measure of segment profit or loss. iv. a measure of total assets and liabilities for a particular reportable segment if such amounts are regularly provided to the chief operating decision maker and if there has been a material change from the amount disclosed in the last annual financial statements for that reportable segment. v. a description of differences from the last annual financial statements in the basis of segmentation or in the basis of measurement of segment profit or loss.

	vi. a reconciliation of the total of the reportable segments' measures of profit or loss to the entity's profit or loss before tax expense (tax income) and discontinued operations. However, if an entity allocates to reportable segments items such as tax expense (tax income), the entity may reconcile the total of the segments' measures of profit or loss to profit or loss after those items. Material reconciling items shall be separately identified and described in that reconciliation.
h)	events after the interim period that have not been reflected in the financial statements for the interim period.
i)	the effect of changes in the composition of the entity during the interim period, including business combinations, obtaining or losing control of subsidiaries and long-term investments, restructurings, and discontinued operations. In the case of business combinations, the entity shall disclose the information required by Ind AS 103, *Business Combinations*.
j)	for financial instruments, the disclosures about fair value of Ind AS 113, *Fair Value Measurement*, and Ind AS 107, *Financial Instruments: Disclosures*.
k)	for entities becoming, or ceasing to be, investment entities, as defined in Ind AS 110, *Consolidated Financial Statements*, the disclosures in Ind AS 112, *Disclosure of Interests in Other Entities*.
l)	the disaggregation of revenue from contracts with customers required by Ind AS 115, *Revenue from Contracts with Customers*.



2.6 DISCLOSURE IN ANNUAL FINANCIAL STATEMENTS (Pg. No. 3.82)

If an estimate of an amount reported in an interim period is changed significantly during the final interim

Ind AS 108 : OPERATING SEGMENTS

(a) Revenues from segments below the quantitative thresholds are attributable to four operating segments of Diversified Company. Those segments include a small property business, an electronics equipment rental business, a software consulting practice and a warehouse leasing operation. None of those segments has ever met any of the quantitative thresholds for determining reportable segments.

(b) The finance segment derives a majority of its revenue from interest. Management primarily relies on net interest revenue, not the gross revenue and expense amounts, in managing that segment. Therefore, only the net amount is disclosed.

3.10 ENTITY-WIDE DISCLOSURES (Pg. No. 8.122 to 8.124)

Some entities' business activities are not organised on the basis of differences in related products and services or differences in geographical areas of operations. Such an entity's reportable segments may report revenues from a broad range of essentially different products and services, or more than one of its reportable segments may provide essentially the same products and services. Similarly, an entity's reportable segments may hold assets in different geographical areas and report revenues from customers in different geographical areas, or more than one of its reportable segments may operate in the same geographical area. Certain information required should be provided only if it is not provided as part of the reportable segment information required by Ind AS 108.

3.10.1 Information about products and services

An entity should report the revenues from external customers for each product and service, or each group of similar products and services, unless the necessary information is not available and the cost to develop it would be excessive, in which case that fact should be disclosed. The amounts of revenues reported should be based on the financial information used to produce the entity's financial statements.

3.10.2 Information about geographical areas

An entity should report the following geographical information, unless the necessary information is not available and the cost to develop it would be excessive:

(a) revenues from external customers

(i) attributed to the entity's country of domicile and

(ii) attributed to all foreign countries in total from which the entity derives revenues. If revenues from external customers attributed to an individual foreign country are material, those revenues should be disclosed separately. An entity should disclose the basis for attributing revenues from external customers to individual countries; and

(b) non-current assets (For assets classified according to a liquidity presentation, non-current assets are assets that include amounts expected to be recovered more than twelve months after the reporting period) other than financial instruments, deferred tax assets, post- employment benefit assets, and rights arising under insurance contracts (i) located in the entity's country of domicile and (ii) located in all foreign countries in total in which the entity holds assets. If assets in an individual foreign country are material, those assets should be disclosed separately.

The amounts reported should be based on the financial information that is used to produce the entity's financial statements. If the necessary information is not available and the cost to develop it would be excessive, that fact should be disclosed. An entity may provide, in addition to the information required by this paragraph, subtotals of geographical information about groups of countries.

The following illustrates the geographical information required (Because Diversified Company's reportable segments are based on differences in products and services, no additional disclosures of revenue information about products and services are required.)

3.10.3

Geographical Information	Revenue(a) ₹	Non-Current Assets ₹
United States	19,000	11,000
Canada	4,200	-
China	3,400	6,500
Japan	2,900	3,500
Other countries	6,000	3,000
Total	35,500	24,000

Information about major customers

An entity should provide information about the extent of its reliance on its major customers. If revenues from transactions with a single external customer amount to 10% or more of an entity's revenues, the entity should disclose that fact, the total amount of revenues from each such customer, and the identity of the segment or segments reporting the revenues. The entity need not disclose the identity of a major customer or the amount of revenues that each segment reports from that customer. For the purposes of Ind AS 108, a group of entities known to a reporting entity to be under common control should be considered a single customer. However, judgement is required to assess whether a government (including government agencies and similar bodies whether local, national or international) and entities known to the reporting entity to be under the control of that government are considered a single customer. In assessing this, the reporting entity should consider the extent of economic integration between those entities.

The following illustrates the information about major customers. Neither the identity of the customer nor the amount of revenues for each operating segment is required.

Revenues from one customer of Diversified Company's software and electronics segments represent approximately ₹ 5,000 of the Company's total revenues.

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Ind AS 113 : FAIR VALUE MEASUREMENT

3.3 SCOPE

3.3.1 What is not covered?

3.3.1.1 Measurement and Disclosure exclusion (Pg. No. 4.87)

(a) share-based payment transactions within the scope of Ind AS 102, Share based Payment;

(b) leasing transactions accounted in accordance with Ind AS 116, Leases; and

(c) measurements that have some similarities to fair value but are not fair value, such as net realisable value in Ind AS 2, Inventories, or value in use in Ind AS 36, Impairment of Assets.

3.3.1.2 Disclosure exclusion (Pg. No. 4.87)

(a) plan assets measured at fair value in accordance with Ind AS 19, Employee Benefits;

(b) assets for which recoverable amount is fair value less costs of disposal in accordance with Ind AS 36.

3.16 DISCLOSURES (Pg. No. 4.111 to 4.112)

An entity shall disclose information that helps users of its financial statements assess both of the following:

a) for assets and liabilities that are measured at fair value on a recurring or non-recurring basis in the balance sheet after initial recognition, the valuation techniques and inputs used to develop those measurements

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Ind AS 115 : REVENUE FROM CONTRACTS WITH CUSTOMERS

12. SERVICE CONCESSION ARRANGEMENTS (Pg. No. 9.140)

12.3 Service Concession Arrangements: Disclosures

- All aspects of a service concession arrangement shall be considered in determining the appropriate disclosures in the notes. An operator and a grantor shall disclose the following in each period:

  (a) a description of the arrangement;

  (b) significant terms of the arrangement that may affect the amount, timing and certainty of future cash flows (eg the period of the concession, re-pricing dates and the basis upon which re-pricing or re-negotiation is determined);

  (c) the nature and extent (eg quantity, time period or amount as appropriate) of:

  i. rights to use specified assets;

  ii. obligations to provide or rights to expect provision of services;

  iii. obligations to acquire or build items of property, plant and equipment;

  iv. obligations to deliver or rights to receive specified assets at the end of the concession period;

  v. renewal and termination options; and

  vi. other rights and obligations (eg major overhauls);

  (d) changes in the arrangement occurring during the period; and

  (e) how the service arrangement has been classified.

- An operator shall disclose the amount of revenue and profits or losses recognized in the period on exchanging construction services for a financial asset or an intangible asset.
- The disclosures required in accordance with paragraph 6 of this Appendix shall be provided individually for each service concession arrangement or in aggregate for each class of service concession arrangements. A class is a grouping of service concession arrangements involving services of a similar nature (eg toll collections, telecommunications and water treatment services).

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Ind AS 116 : LEASES

Similar to the lessee disclosure requirements, Ind AS 116 requires a lessor to disclose additional qualitative and quantitative information about its leasing activities in order to provide users with a basis for assessing the leasing's impact on the financial statements.

This disclosure would include the nature of the lessor's leasing activities and how the lessee manages risks associated with those activities, including risk management on rights retained in underlying assets and risk management strategies including:\

- Buy-back agreements;
- Residual value guarantees;
- Variable lease payments for excess use; and
- Any other risk management strategies.

8.6 OTHER MATTERS

8.6.1 Sub-Leases

8.6.1.3 Disclosure (Pg. No. 5.469 to 5.470)

Under Ind AS 116, entities (including intermediate lessors) are required to disclose qualitative and quantitative information which gives a basis for users of financial statements to assess the effect that leases have on the financial position, financial performance and cash flows of the lessor (refer the disclosures for 'lessors' and 'lessees' already discussed earlier).

8.7 Transition Approach

8.7.4 Disclosure (Pg. No. 5.489 to 5.491)

Disclosure requirements vary in the following as required by Ind AS 8 (except that it is impracticable to determine the amount of the adjustment):

Full Retrospective Approach	*Modified Retrospective Approach*
(a) the title of the Ind AS;	(a) the title of the Ind AS;
(b) when applicable, that the change in accounting policy is made in accordance with its transitional provisions;	(b) when applicable, that the change in accounting policy is made in accordance with its transitional provisions;
(c) the nature of the change in accounting policy;	(c) the nature of the change in accounting policy;
(d) when applicable, a description of the transitional provisions;	(d) when applicable, a description of the transitional provisions;
(e) when applicable, the transitional provisions that might have an effect on future periods;	(e) when applicable, the transitional provisions that might have an effect on future periods;

(f) for the current period and each prior period presented, to the extent practicable, the amount of the adjustment: (i) for each financial statement line item affected; and (ii) if Ind AS 33 Earnings per Share applies to the entity, for basic and diluted earnings per share;	(f) the weighted average lessee's incremental borrowing rate applied to lease liabilities recognised in the balance sheet at the date of initial application; and an explanation of any difference between: (i) operating lease commitments disclosed applying Ind AS 17 at the end of the annual reporting period immediately preceding the date of initial application, discounted using the incremental borrowing rate at the date of initial application; and (ii) lease liabilities recognised in the balance sheet at the date of initial application.
(g) the amount of the adjustment relating to periods before those presented, to the extent practicable; and	(g) the amount of the adjustment relating to periods before those presented, to the extent practicable; and
(h) if retrospective application required by Ind AS 8 is impracticable for a particular prior period, or for periods before those presented, the circumstances that led to the existence of that condition and a description of how and from when the change in accounting policy has been applied.	(h) if retrospective application required by Ind AS 8 is impracticable for a particular prior period, or for periods before those presented, the circumstances that led to the existence of that condition and a description of how and from when the change in accounting policy has been applied. Further, if a lessee uses one or more of the practical expedients (already discussed above), it shall disclose that fact.

PROFESSIONAL AND ETHICAL DUTY OF A CHARTERED ACCOUNTANT

A. CONFLICTS OF INTEREST

3. Disclosure and Consent (Pg. No. 16.18)

It is generally necessary to:

(a) Disclose the nature of the conflict of interest and how any threats created were addressed to the relevant parties, including to the appropriate levels within the employing organization affected by a conflict; and

(b) Obtain consent from the relevant parties for the Chartered Accountant to undertake the professional activity when safeguards are applied to address the threat.

When addressing a conflict of interest, the Chartered Accountant is encouraged to seek guidance from within the employing organization or from the Institute, legal counsel or another accountant. When making such disclosures or sharing information within the employing organization and seeking guidance of third parties, the principle of confidentiality applies.

Bhavik Chokshi

ANALYSIS OF FINANCIAL STATEMENTS

4. BEST PRACTICES - APPLICABLE TO ALL COMPANIES

7. Disclosure of Material Accounting Policies (Pg. No. 15.10)

- The financial statements should disclose your material accounting policies. Disclose only your material accounting policies – remove your non-material disclosures that do not add any value.
- Your disclosures should be relevant, specific to your company and explain how you apply your policies.
- The aim of accounting policy disclosures is to help your investors and other stakeholders to properly understand your financial statements.
- Use judgement to determine whether your accounting policies are material, considering not only the materiality of the balances or transactions affected by the policy but also other factors including the nature of the company's operations.

Example:

Taxable temporary differences arise on certain brands and licenses that were acquired in past business combinations. Management considers that these assets have an indefinite life and are expected to be consumed by use in the business. For these assets deferred tax is recognised using the capital gains tax applicable on sale.

8. Disclosures of Key Estimates and Judgements (Pg. No. 15.11)

- Effective disclosures about the most important estimates and judgements enable investors to understand your financial statements.
- Focus on the most difficult, subjective and complex estimates.
- Include details of how the estimate was derived, key assumptions involved, the process for reviewing and an analysis of its sensitiveness.
- Provide sufficient background information on the judgement, explain how the judgement was made and the conclusion reached.

Bhavik Chokshi

CONCEPTUAL FRAMEWORK FOR FINANCIAL REPORTING UNDER INDIAN STANDARDS (IND AS)

UNIT 8: PRESENTATION AND DISCLOSURE (Pg. No. 2.62 to 2.64)

A reporting entity communicates information about its assets, liabilities, equity, income and expenses by presenting and disclosing information in its financial statements.

8.1 PRESENTATION AND DISCLOSURE OBJECTIVES AND PRINCIPLES

To facilitate effective communication of information in financial statements, when developing presentation and disclosure requirements in Ind ASs a balance is needed between:

(a) giving entities the flexibility to provide relevant information that faithfully represents the entity's assets, liabilities, equity, income and expenses; and

(b) requiring information that is comparable, both from period to period for a reporting entity and in a single reporting period across entities.

Effective communication in financial statements is also supported by considering the following principles:

(a) entity-specific information is more useful than standardised descriptions; and

(b) duplication of information in different parts of the financial statements is usually unnecessary and can make financial statements less understandable.

8.2 CLASSIFICATION

Classification is the sorting of assets, liabilities, equity, income or expenses on the basis of shared characteristics for presentation and disclosure purposes. Such characteristics include — but are not limited to — the nature of the item, its role (or function) within the business activities conducted by the entity, and how it is measured.

Classifying dissimilar assets, liabilities, equity, income or expenses together can obscure relevant information, reduce understandability and comparability and may not provide a faithful representation of what it purports to represent.

8.2.1 Classification of assets and liabilities

Classification is applied to the unit of account selected for an asset or liability. However, it may sometimes be appropriate to separate an asset or liability into components that have different characteristics and to classify those components separately. That would be appropriate when classifying those components separately would enhance the usefulness of the resulting financial information. For example, it could be appropriate to separate an asset or liability into current and non-current components and to classify those components separately.

8.2.2 Offsetting

Offsetting occurs when an entity recognises and measures both an asset and liability as separate units of account, but groups them into a single net amount in the balance sheet. Offsetting classifies dissimilar items together and therefore is generally not appropriate.

Offsetting assets and liabilities differs from treating a set of rights and obligations as a single unit of account.

8.2.3 Classification of equity

To provide useful information, it may be necessary to classify equity claims separately if those equity claims have different characteristics.

Similarly, to provide useful information, it may be necessary to classify components of equity separately if some of those components are subject to particular legal, regulatory or other requirements. For example, in some jurisdictions, an

entity is permitted to make distributions to holders of equity claims only if the entity has sufficient reserves specified as distributable. Separate presentation or disclosure of those reserves may provide useful information.

8.2.4 Classification of income and expenses

Classification is applied to:

(a) income and expenses resulting from the unit of account selected for an asset or liability; or

(b) components of such income and expenses if those components have different characteristics and are identified separately. For example, a change in the current value of an asset can include the effects of value changes and the accrual of interest (see tables in section 7.2). It would be appropriate to classify those components separately if doing so would enhance the usefulness of the resulting financial information.

8.2.5 Profit or loss and other comprehensive income

Income and expenses are classified and included either:

(a) in the profit or loss section of statement of profit and loss; or

(b) outside the profit or loss section of statement of profit and loss, in other comprehensive income.

Because the profit or loss section of statement of profit and loss is the primary source of information about an entity's financial performance for the period, all income and expenses are, in principle, included in that statement. However, in formulating Ind AS, the ICAI may decide in exceptional circumstances that income or expenses arising from a change in the current value of an asset or liability are to be included in other comprehensive income when doing so would result in the profit or loss section of statement of profit and loss providing more relevant information, or providing a more faithful representation of the entity's financial performance for that period.

In principle, income and expenses included in other comprehensive income in one period are reclassified from other comprehensive income into the profit or loss section of statement of profit and loss in a future period when doing so results in the profit or loss section of statement of profit and loss providing more relevant information or providing a more faithful representation of the entity's financial performance for that future period. However, if, for example, there is no clear basis for identifying the period in which reclassification would have that result, or the amount that should be reclassified, the ICAI may, in formulating Ind AS, decide that income and expenses included in other comprehensive income are not to be subsequently reclassified.

8.3 AGGREGATION

Aggregation is adding together of assets, liabilities, equity, income or expenses that have shared characteristics and are included in the same classification.

Aggregation makes information more useful by summarising a large volume of detail. However, aggregation conceals some of that detail. Hence, a balance needs to be found so that relevant information is not obscured either by a large amount of insignificant detail or by excessive aggregation.

Different levels of aggregation may be needed in different parts of the financial statements. For example, typically, the balance sheet and the statement of profit and loss provide summarised information and more detailed information is provided in the notes.